RALPH LAUREN

Scenario Overview

November 2022

Objective

Pending lease expiration and termination option at 650 Madison Avenue and 601 West 26th Street require immediate attention: Confirm that negotiated occupancy solutions at 601 West 26th Street and 650 Madison Avenue align with RL's near and long-term goals.

Executive Summary

Timing:

- Finalize deal terms / term sheet (December 2022) / lease negotiations (Q4 FY23)
- Delay of decision will add significant expense, delay renovations, extend suboptimal workplace experience and create a loss of credibility in the market
- In addition, if either of RL's options are lost, RL's leverage will significantly decline and the cost to implement solutions will increase

Key issues:

- Consolidate design groups and showrooms into 601 and downsize at 650
- Eliminate 550 Seventh and consolidate into 601
- Upgrade spaces at 601 to provide consistent workplace experience consistent with RL's Guiding Principles and "New Ways of Working"
- Fix infrastructure issues at 650 / spend minimal capital
- Maintain flexibility to allow for continued consolidation
- Maximize buying power to reduce real estate cost and minimize RL capital expense

Proposed Solutions:

- Extend leases at 650 Madison and 601 West 26th
  - Downsize 650 to 5th and 6th floors
  - Build out 7th floor at 601 with corresponding drop of 8th floor, providing contiguous space and connectivity via staircase
  - Implement minimal capital expense scenario at 650 (infrastructure only)

Decisions Needed

- Approve 650 Madison renewal scenario (5-6). Confirm minimal spend scenario (infrastructure upgrades only)
- Eliminate 550 Seventh, consolidate / prioritize Lauren move
- Approve 601 W 26 consolidation / extension scenario (5-7)
- Walk through being scheduled to review space and discuss capital budget to implement proposed solutions

601 West 26th Street

Primary Objectives / What We Know	Proposed Solution
601 will be the long-term home for RL for the foreseeable future	Extend at 601 to take advantage of market and termination option.
Leverage buying power / market conditions to achieve immediate significant rent savings	601 current escalated rent at $75 PSF. Rent will be reduced to $66 PSF starting January 2024 - 1 year earlier than LXD.
There are significant organizational changes that need to occur which require capex • Design groups from 650 move down to 601 • Space is not conducive to design groups. These groups will insist that their space look like the new spaces on 5 and 6 • Lauren division needs new space • Showrooms will move from 650 to 601 and need to be built • 550 Seventh and Lauren group consolidated from three locations to one (601)	Lease the 7th floor (vs keeping the 8th floor) in order to lease contiguous floors Significant concession package from RXR @ $125 PSF (~$40 million) to defray capital cost as well as 14 months free rent (~$25 mm) starting Jan 1, 2024.
Structure deal to provide near term flexibility to right size RL footprint Obtain future options to grow or shrink footprint and allow for the potential future consolidation of the 650 Madison office.	Right to drop suites on the 5th floor – reduce footprint by ~45,000 SF Provides expansion and contraction options now, and in the future in the event RL wants to further consolidate. Provides for termination right in 10 years and renewal options.

Proposed solution is to consolidate operations onto the 5th, 6th, and 7th floors at 601.

650 Madison Avenue

Primary Objectives / What We Know	Proposed Solution
Minimize the space leased at 650 Madison	Consolidate onto floors 5 and 6 if possible. Provide for flexibility to eliminate the 7th floor as of 12/24. Decide by July-Sept 2023.
Leverage buying power / market conditions to achieve significant rent savings	Current rent at $119 PSF will be reduced to $89 PSF starting Jan 2024 – 1 year earlier than LXD.
Limit capital expenditures, but mitigate business interruption risk	Significant concession package from VNO for the retained floors to defray capital costs (to fix infrastructure issues) @ $130 PSF (~$11M) as well as 12 months free rent (~$8M). Minimal capex spend does not assume an upgrade to employee facing space in order to minimize the 650 capex spend Extension affords RL the flexibility to determine the timing and extent of capital expenditures.
Maintain near term flexibility to allow for full development of RL plans for consolidation at 601	Provide for flexibility to terminate the lease in 7 to 10 years from LXD (termination option to coincide with the expansion options at 601).

Project 2024 Proposed Solution – Financial Analysis

		Pre-Covid	Existing		Proposed Solution
	RSF:	*625,677*	*605,159*	decrease of **136K (22%)** →	*469,038*
Pre-Tax Cash	**Stabilized Run Rate:**	**$62M**	**$60M**	decrease of **$20M (33%)** →	**$40M**
	Out-of-Pocket Capital:	N/A	N/A		$44M
	Capital Payback Period:	N/A	N/A		2.2 years
	Peak Cash Cost:	N/A	N/A		$82M (2025)
	Escalated Rent:	**$94 per RSF**	**$93 per RSF**	decrease of **$23/RSF (26%)** →	**$70 per RSF**
P&L	**Stabilized Run Rate:**	**$60M**	**$52M**	decrease of **$6M (12%)** →	**$46M**
	Peak P&L Cost:	N/A	N/A		$56M (2025)

601 West 26th Street

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Proposed solution is to consolidate operations onto the 5th, 6th, and 7th floors. The 8th floor needs to be fully renovated.

650 Madison Avenue

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The Bronze budget ($1M net out-of-pocket) is the minimum capital that can be spent without risking shutdowns and interruptions to the business as confirmed by RL Facilities, the Real Estate Team and third-party Project Management experts.

However, the Bronze scenario will not upgrade the "people experience" at 650 (in addition to the loss of hoteling seats due to the elimination of the 7th floor).

Summary

All scenarios to minimize capital have been investigated, including deferring and doing nothing.

A "Do Nothing" scenario (i.e., leaving groups where they are today and renewing short-term or long-term) is not financially, operationally, or qualitatively feasible.

RL will continue to operate in suboptimal workplace

Significant capital is still required under any scenario

RL will need to retain a significant (more expensive) presence at 650 Madison if groups are not moved downtown

RL will expose itself to significant future market risk

Proposed Solutions:

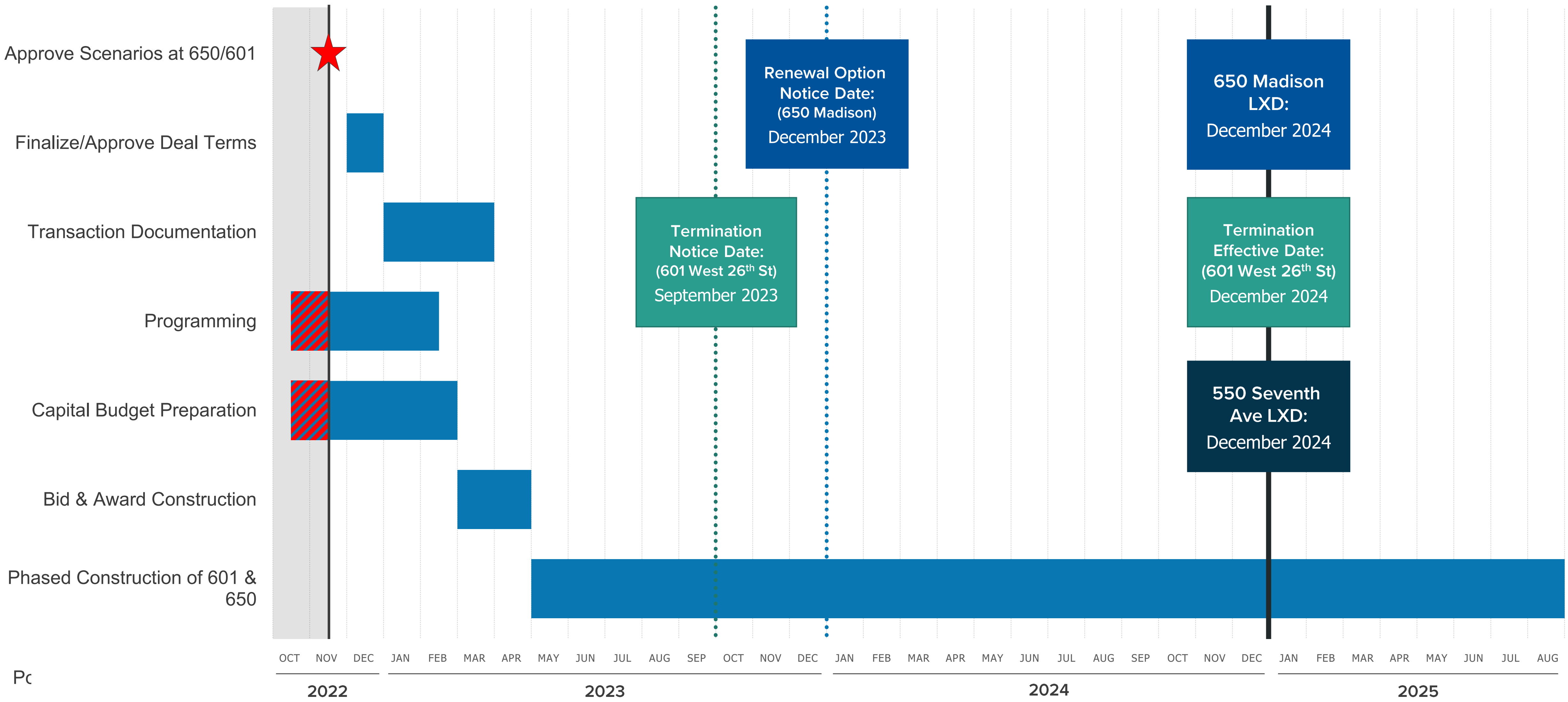
- Extend leases at 650 Madison and 601 West 26th
  - Downsize 650 to 5th and 6th floors
  - Build out 7th floor at 601 with corresponding drop of 8th floor, providing contiguous space and connectivity via staircase
  - Implement minimal capital expense scenario at 650 (infrastructure only)

Decisions needed

- Approve 650 Madison renewal scenario (5-6). Confirm minimal spend scenario (infrastructure upgrades only)
- Eliminate 550 Seventh, consolidate / prioritize Lauren move
- Approve 601 W 26 consolidation / extension scenario (5-7)
- Approve capital budget to implement the Proposed Solutions

Appendix

Critical Dates | Occupancy Implementation



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Major Economic Assumptions

601 West 26th Street

Floors:	Floors 2-3, 5-7
RSF:	380,191 RSF
Commencement Date:	January 1, 2024
Term:	16 years, 2 months*
Starting Base Rent ($/RSF):	$66.00
Free Rent:	14 months
Cash Allowance:	$125.00 PSF
Net Effective Rent:	*$44.54 per RSF*
8th Amendment NER (2019)	*$59.02 per RSF*

*601 West 26th Street has the option to terminate (a) the entire lease or (b) all or any portion of the uppermost or lowermost floor by December 31, 2034 with 15 months prior notice.

650 Madison Avenue

Floors:	Floors 5-6
RSF:	88,847 RSF
Commencement Date:	January 1, 2024
Term:	11 years
Starting Base Rent ($/RSF):	$89.00
Free Rent:	12 months
Cash Allowance:	$130.00 PSF
Net Effective Rent:	*$57.49 per RSF*

Existing Obligations vs. Base Case Scenario - Near-Term Annual Cash Flows

Pre-Tax Cash Basis ($M)	RSF	Total (2022 – 2026)	Out-of-Pocket Capital	Jan 2022	2023	2024	2025	2026
Remaining Obligations								
650 Madison (Fl. 5-10 & 14) | 601 W 26th Street (Fl. 5-6 & 8) | 550 Seventh	605,159	$218	$1	$56	$58	$60	N/A	N/A
1. Base Case Renewal & Consolidation								
650 Madison (Floors 5-6) & 601 West 26th Street (Floors 5-7)	469,038	$271	$44	$56	$52	$44	$82	$37
Incremental Cost / (Savings) vs. Remaining Obligation				*$0*	*($6)*	*($16)*		

P&L Basis ($M)	RSF	Total (2022 – 2026)	Jan 2022	2023	2024	2025	2026
Remaining Obligations							
650 Madison (Fl. 5-10 & 14) | 601 W 26th Street (Fl. 5-6 & 8) | 550 Seventh	484,542	$189	$50	$51	$53	N/A	N/A
1. Base Case Renewal & Consolidation							
650 Madison (Floors 5-6) & 601 West 26th Street (Floors 5-7)	469,038	$247	$50	$46	$48	$56	$47
Incremental Cost / (Savings) vs. Remaining Obligation			*$0*	*($5)*	*($4)*		

601 West 26th Street

The 8th floor units do not work in their current configuration / build out. The floor requires a complete re-build (other than the Home Showroom)

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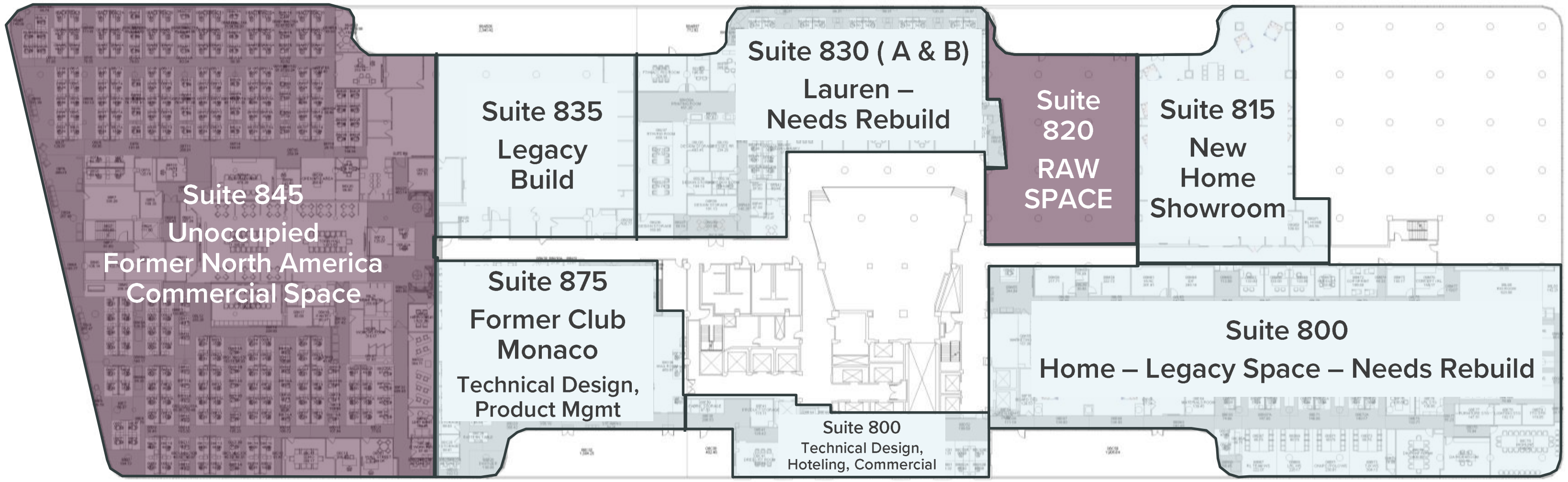
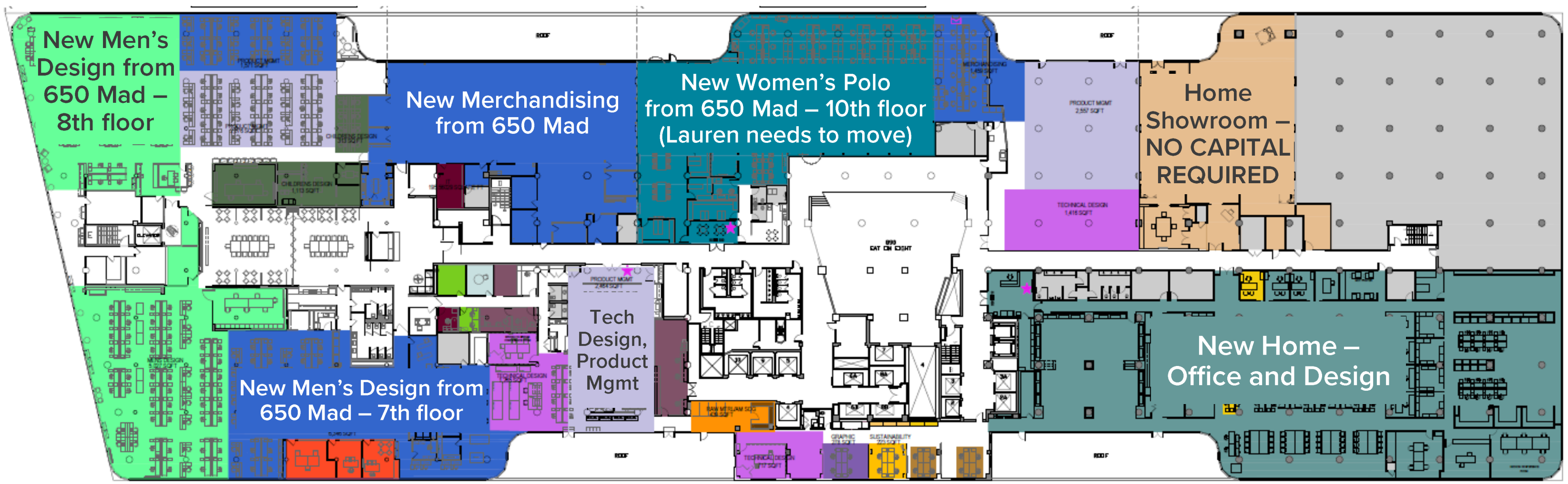
8th Floor

Current Conditions



Proposed Conditions



601
West 26th Street

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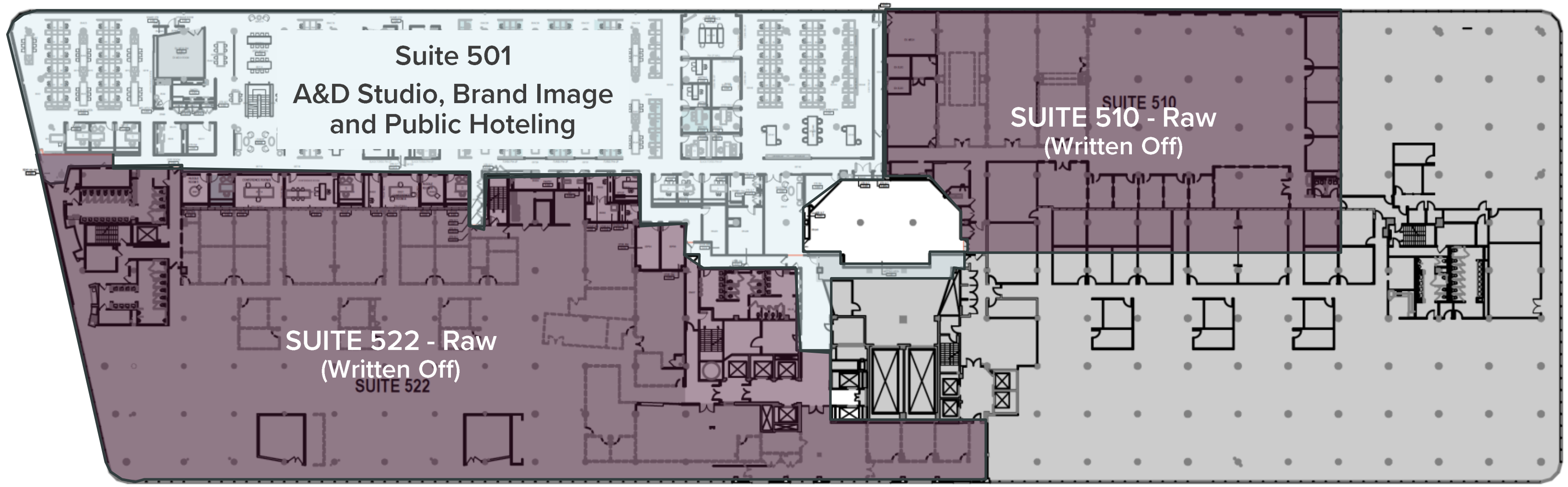
5th Floor

Current Conditions



Proposed Conditions

601 West 26th Street

If the 8th floor needs to be fully renovated, leasing the 7th floor instead could give RL contiguous floors and minimize the impact to RL's business (vs renovating in place on the 8th floor) – at the same cost (both scenarios are very similar in terms of total cost).

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7th Floor | Block Plan

5th Floor | Block Plan